

INSURANCE & PENSIONS COMMISSION



FUNERAL ASSURANCE REPORT



FOR THE YEAR ENDED 31 DECEMBER 2020



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This report relates to funeral assurance business written by funeral assurers only and does not relate to funeral assurance business written by life assurers. The funeral assurance business generated by life assurers is reported in the life assurance report. All the figures in this report are expressed in Zimbabwe dollars (ZW\$). Figures relating to periods before February 2019, which were originally reported in United States dollars (US\$) have been converted into ZW\$ at parity in accordance with the provisions of S.I 133 of 2019.

Growth referred to in this report is nominal growth unless stated otherwise.

***The total figures reported here exclude Doves Life Assurance and will differ from those published in prior reports where comparisons are applicable.

* Income statement figures were adjusted using year-on-year inflation of 348.6% reported for the month of December 2020. Source:
<https://www.rbz.co.zw/index.php/research/markets/inflation>

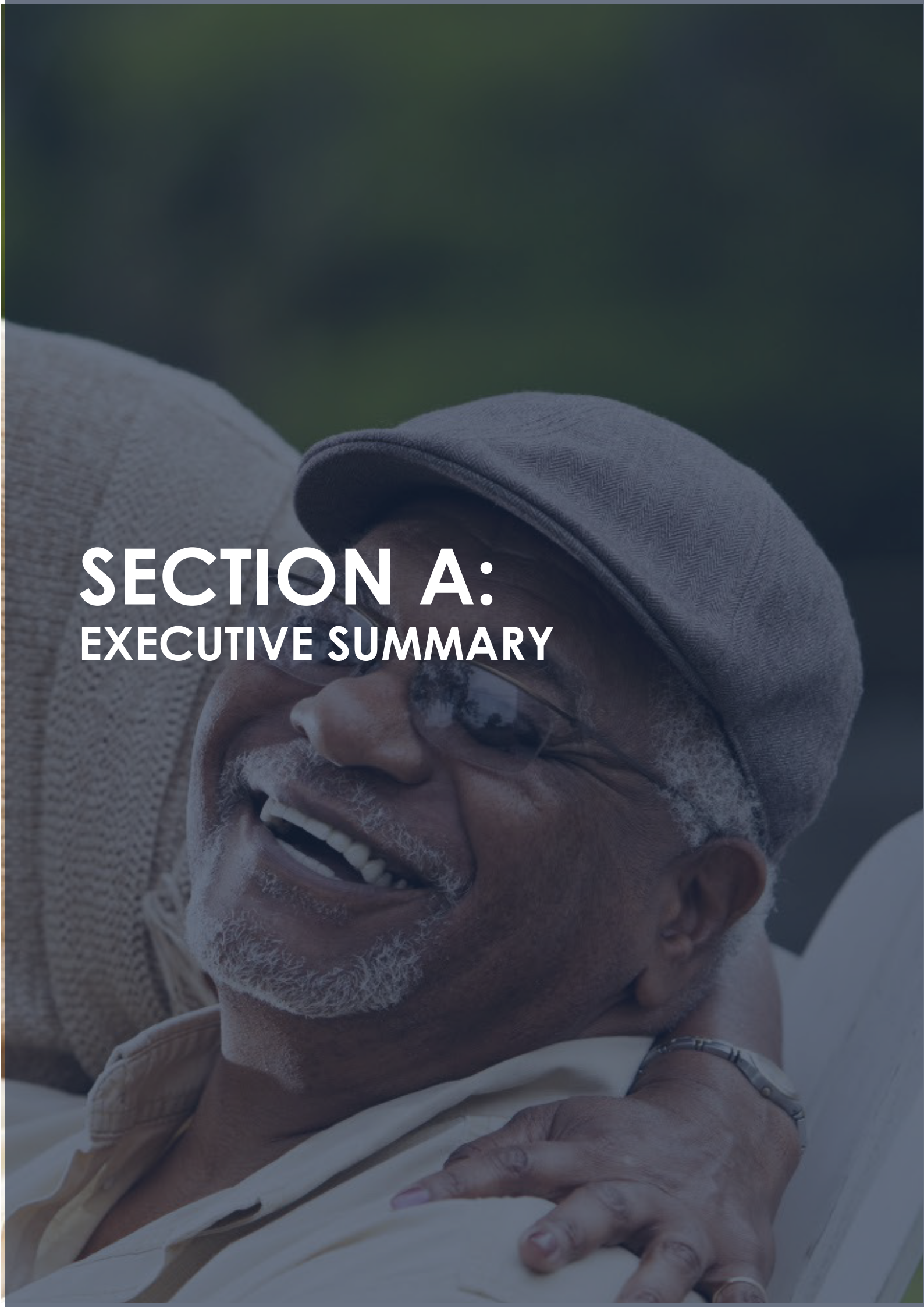
**Balance sheet figures were not adjusted due to the unavailability of quarterly inflation figures. Therefore, balance sheet figures are compared on a nominal basis.

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Abbreviations

GPW	Gross Premium Written
IPEC	Insurance and Pensions Commission
MCR	Minimum Capital Requirement
PA	Prescribed Assets/Securities as defined by the Insurance Act [Chapter 24:07]
S.I	Statutory Instrument
TCF	Treating Customers Fairly
ZICARP	Zimbabwe Integrated Capital and Risk Programme



SECTION A: EXECUTIVE SUMMARY

- 1.1. For the twelve months under review, the number of registered and operating funeral assurers writing strictly funeral assurance business stood at eight (8).
- 1.2. The funeral assurance industry's inflation adjusted GPW increased by 76.81% from ZW\$34.56 million for the twelve months-ended 31 December 2019 to ZW\$61.11 million for the twelve months-ended 31 December 2020.
- 1.3. Three (3) out of the eight (8) funeral assurers reported capital positions that were compliant with the regulatory minimum capital requirement of ZW\$62.50 million as prescribed in Statutory Instrument 59 of 2020.
- 1.4. The Funeral Assurance sector's total assets increased by 12.75% from ZW\$769.75 million as at 30 September 2020 to ZW\$867.90 million as at 31 December 2020.
- 1.5. As at 31 December 2020, all funeral assurers were not compliant with the minimum prescribed asset ratio of 10% as stipulated by the Statutory Instrument 206 of 2019. The total amount invested in prescribed assets was ZW\$0.21 million against the required minimum amount of ZW\$86.79 million, which is 10% of the industry's total adjusted assets.
- 1.6. Total technical liabilities for the funeral assurance sector increased by 2.13% from ZW\$217.28 million as at 30 September 2020 to ZW\$221.92 million as at 31 December 2020, with future policyholder benefits being the major component constituting 99.70% of technical liabilities.
- 1.7. Profit before tax for the funeral assurance industry increased in absolute terms by 830% from ZW\$5.04 million for the year-ended 31 December 2019 to ZW\$46.88 million for the year-ended 31 December 2020. In real terms the profit before tax increased by 107% from ZW\$5.04 million for the year-ended 31 December 2019 to ZW\$10.45 million for the year-ended 31 December 2020.
- 1.8. For the twelve months-ended 31 December 2020, two players dominated the funeral assurance sector in terms of GPW with a total market share of 81.25%. The remaining six (6) funeral assurers accounted for the difference of 18.75%.
- 1.9. None of the funeral assurers had any reinsurance arrangement(s) in place for the twelve months-ended 31 December 2020.

SECTION B: ABOUT THE COMMISSION

Insurance & Pensions
Commission



2. Introduction

2.1. The Insurance and Pensions Commission (IPEC) is a statutory body mandated with regulating, supervising and developing the insurance and pensions industry for the protection of policyholders and pension scheme members in Zimbabwe.

2.2. This report outlines the funeral assurance sector developments and IPEC's various activities in the funeral assurance sector consistent with its statutory mandate during the twelve months-ended 31 December 2020.

3. Terms of Reference

3.1. The activities of the Commission are guided by the following Acts and their Regulations:

3.1.1. Insurance and Pensions Commission Act [Chapter 24:21];

3.1.2. Pension and Provident Funds Act [Chapter 24:09];

3.1.3. Insurance Act [Chapter 24:07];

3.1.4. Money Laundering and Proceeds of Crime Act [Chapter 09:24];

3.1.5. Finance Act [Chapter 23:04];

3.1.6. Public Entities and Corporate Governance Act [Chapter 10:31];

3.1.7. Public Finance Management Act [Chapter 22:19]; and

3.1.8. Public Procurement and Disposal of Public Assets Act [Chapter 22:23]

A hand in a pinstripe suit points towards a wireframe globe. The globe is composed of a network of white lines and dots, with various geometric shapes like triangles and polygons floating around it. The background is a dark blue gradient.

SECTION C:

ECONOMIC OUTLOOK

4 ECONOMIC DEVELOPMENTS

4.1 2020 Global and Regional Economic Outturn

Revised International Monetary Fund (IMF) estimate a global economic output decline of 3.5% in 2020, buttressed by stronger than expected recovery across all regions in the second half of the year. The World Bank (WB) projects a deeper contraction of 4.3% due to the effects of the pandemic. For advanced economies, the revised GDP estimate was -4.9%, an improvement from the October forecast of -5.8%. GDP growth for emerging markets and developing countries (EMDEs) is expected to contract by 2.4%.

GDP growth forecast for Sub-Saharan Africa was revised upwards to 2% from an expected contraction of 3% in October 2020. However, the WB estimate the region to contract by 3.7% in 2020.

4.2 Global and Regional Economic Outlook

In light of Covid-19 developments, global economy is expected to grow by 5.5% in 2021 (IMF), up from a 5.2% forecast in October 2020, amid renewed hope for recovery following approvals of the Covid-19 vaccines. The World Bank projects a lower growth of 4%. While strong fiscal, monetary and other policies towards households and firms in some countries are expected to boost recovery, the resurgence of the Corona virus and control measures being enforced in several economies are likely to offset some of the gains.

Sub-Saharan Africa GDP growth projection for 2021 is set at 3.2% as per the IMF forecast, while the World Bank set a conservative growth of 2.7%. SSA growth is expected to be undermined by risks such as weaker recovery than expected in trading partners, logistical hurdles that could affect vaccine

distribution and slow-down productivity.

Table 1: World Economic Outlook Revised Projections (Percentage Change)

	2020	2021	2022
World Output	-3.5	5.5	4.2
Advanced Economies	-4.9	4.3	3.1
USA	-3.4	5.1	2.5
Euro Area	-7.2	4.2	3.6
Emerging Markets and Developing countries	-2.4	6.3	5
China	2.3	8.1	5.6
Sub-Saharan Africa	2	3.2	3.9
Nigeria	-3.2	1.5	2.5
South Africa	-7.5	2.8	1.4

Domestic Macroeconomic Outturn

The country experienced another recession in 2020, with GDP expected to contract by 4.1% from -6.1% in 2019. Significant output declines were in agriculture, mining, manufacturing, tourism and electricity generation, owing to the effects of the 2019 drought, cyclone and Covid-19 pandemic.

4.4 Exchange Rate Developments: The exchange rate depreciated from US\$1: ZW\$17.10 in January 2020 to U\$1: ZW\$81.80 in December 2020. It was largely stable in the quarter under review owing to the foreign exchange auction system, as it depreciated slightly to US\$1:ZW\$81.8 from US\$1:ZW\$81.4 at the end of October 2020. While the availability of foreign exchange has been improving, with a total of US\$29.58 million allotted on the 21st December 2020 compared to US\$27.85 million on the 27th October 2020 (RBZ), not all interested bidders were able to access the needed funds as some failed to satisfy the auction system requirements. Bidders were disqualified for ineligibility in terms of the priority list, insufficient foreign currency account balances, overdue CD1 and outstanding bills of entry.

Figure 1: Inter-bank Exchange Rate January to December 2020 (US\$:ZW\$) - End of Period

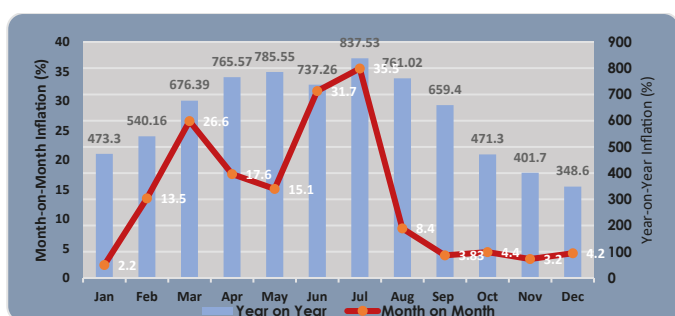
	2020	2021	2022
World Output	-3.5	5.5	4.2
Advanced Economies	-4.9	4.3	3.1
USA	-3.4	5.1	2.5
Euro Area	-7.2	4.2	3.6
Emerging Markets and Developing countries	-2.4	6.3	5
China	2.3	8.1	5.6
Sub-Saharan Africa	2	3.2	3.9
Nigeria	-3.2	1.5	2.5
South Africa	-7.5	2.8	1.4

Source: Reserve Bank of Zimbabwe

4.5 Inflation Developments

Inflation continued on a downward trend in the second half of 2020 due to fiscal consolidation, coupled with monetary stabilisation measures which have brought about some stability in the pricing of goods and services. The annual inflation rate declined from a peak of 837.53% in July to 348.6% in December 2020, driven by non-food items. Month-on-month inflation rate declined from 35.5% in July to 3.2% in November before a slight increase to close the quarter at 4.2% as shown in Figure 2.

Figure 2: Month-on-Month Inflation 2020 and Year on Year Inflation 2020 (percent)



Source: ZIMSTAT

Annual blended CPI inflation has been on a declining trend from 249.63% in October 2020 to 186.91% in December 2020. Monthly blended CPI inflation rate, however, has been on an upward trend, from 1.43% in October, to 2.25% and 2.75% in November and December, respectively.

The reduction in inflation rate is a welcome development for the industry, particularly for fixed income earners such as pensioners

and policyholders, as it allows for some preservation of value of their pay-outs or claims. However, given that inflation figures are still in the positive territory, prices are still increasing though at a decreasing rate.

4.6 Macroeconomic Outlook

The National Development Strategy 1 Macroeconomic Framework projects the economy to rebound by 7.4% in 2021. The growth forecast is expected on the back of recovery in the global economy from Covid-19, stable macroeconomic environment, a predictable policy environment and investor confidence. While the good rainy season provides positive recovery prospects, the uncertainties around Covid-19 may undermine the projection. Strong policy support as well as concerted efforts by all stakeholders towards the economic recovery process is of paramount importance. Public-private partnerships should be encouraged.

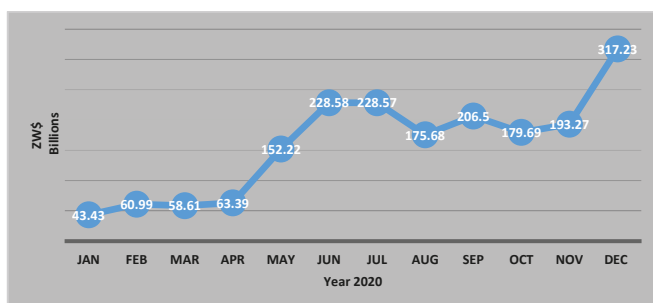
The economy is expected to continue experiencing a gradual decline in inflation in 2021 from 362.6% annual inflation in December 2020 to single digit levels (below 10%) by December 2021, supported by a targeted month-on-month inflation of less than 3%.

4.7 Investment Performance

Zimbabwe Stock Exchange Developments:

The All Share and Top Ten indices grew by 1,046% and 733% respectively during the year ended 31 December 2020. Equity turnover grew by 754% from 2019 and market capitalisation surged by 968%. The trajectory of market capitalisation during the year is as shown in Figure 3.

Figure 3: Daily Market Capitalisation in ZW\$ Billions



Source: Zimbabwe Stock Exchange

Victoria Falls Stock Exchange (VFEX): SeedCo International remains the only trading counter on VFEX. As at 30 November 2020, market capitalisation was US\$43.40 million. The continued delay in lifting suspension of trades on Old Mutual and PPC shares is a major concern for the industry, as asset values of pension fund members and policyholders currently tied in the two counters cannot objectively be valued or liquidated.

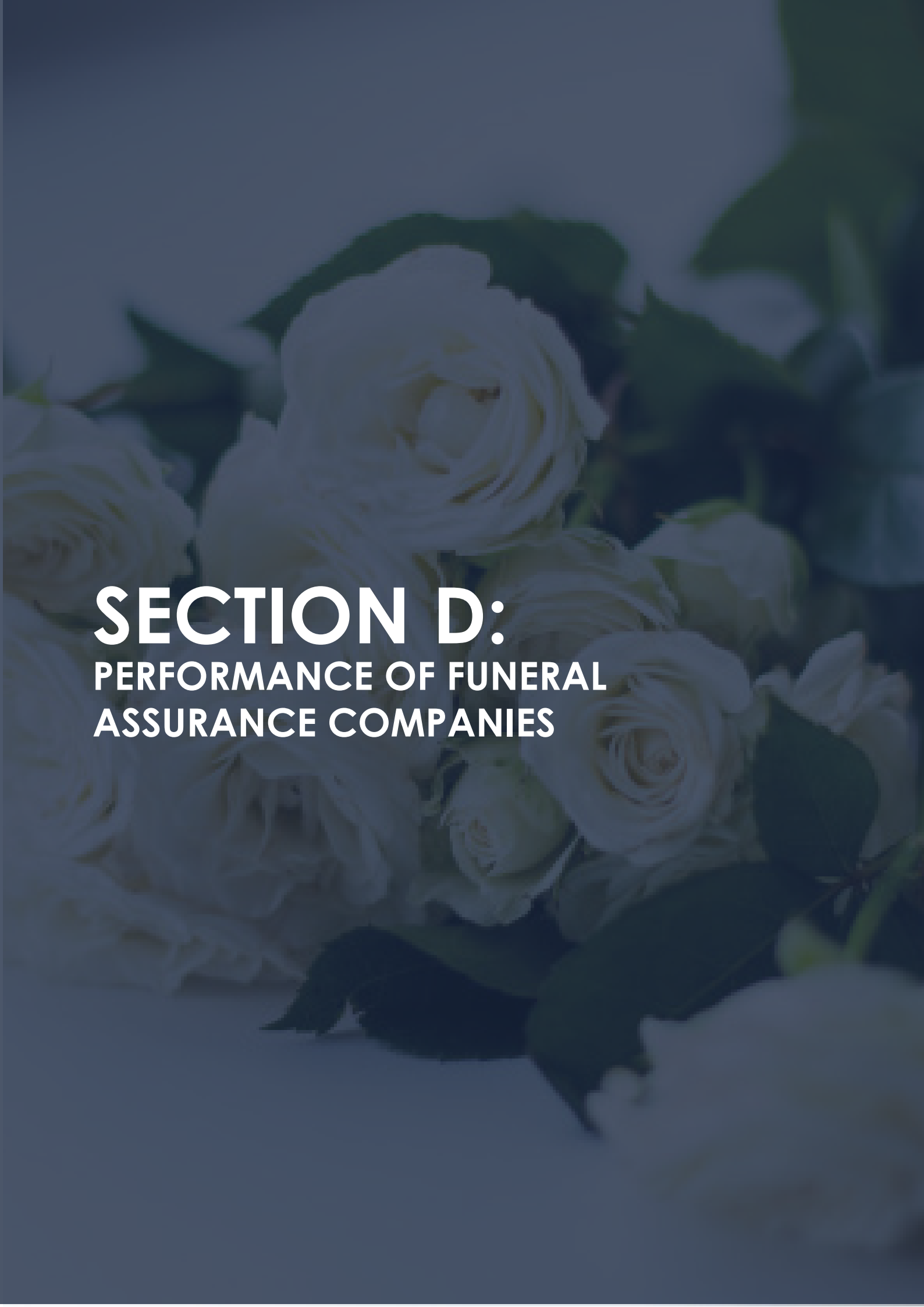
Savings and Deposit Interest Rates: Real interest rates remained negative in 2020, given the high rates of annual inflation which ended the year at 348.6% against nominal interest below 20%. Nominal savings deposit rates remained unchanged for the second half of 2020, ranging between 2.35% and 5.19%. Some minor improvements were recorded in One-month and Three-month deposit rates. One-month nominal deposit rates improved from a maximum of 8.28% end of October 2020 to 8.57% at mid-November 2020, while three-month deposit rates also marginally improved from a maximum of 8.69% to 8.71% during the same period.

4.8 Covid-19 Update

The total number of confirmed Covid-19 cases recorded globally since the onset of the pandemic exceeded 83.1 million, with over 1.8 million deaths as at 31 December 2020. There is increased uncertainty and concern over the mutation of Sars-Cov-2 virus following 2 variants detected in South Africa and

Britain in December 2020. It remains uncertain whether the variants will undermine the effectiveness of the approved vaccines.

Mandatory lockdowns due to Covid-19 disrupted business operations and income streams during the year. Effects of the pandemic have exacerbated the problem of policy lapses, and delayed payment of pensions contributions, premiums and benefits/claims. The new normal also brought about additional operating costs for insurers and pension funds, as they sought to capacitate staff to work remotely.



SECTION D:

PERFORMANCE OF FUNERAL ASSURANCE COMPANIES

5. Performance in terms of Business Written

5.1. The funeral assurance sector's inflation adjusted GPW increased by 76.81% from ZW\$34.56 million for the twelve-months ended 31 December 2019 to ZW\$61.11 million for the twelve-months ended 31 December 2020.

5.2. The increase in GPW was mainly due to the players writing more new business in the year ended 31 December 2020, which increased from ZW\$1.6 million for the year-ended 31 December 2019 to ZW\$15.1 million for the year to 31 December 2020 in nominal terms.

5.3. The increase in GPW was also on account of premium increments as funeral assurers sought to align both the premiums and benefits to the macroeconomic environment in response to inflation trends and remain relevant in serving policyholders.

5.4. Six out of the eight players recorded significant growth of above 50%, and none of the players recorded negative growth.

5.5. The sector continues to face intense pressure and competition from life assurers writing funeral business. For the year-ended 31 December 2020, life assurers wrote funeral assurance business worth ZW\$540.60 million in real terms. This was nine times more than the business written by dedicated funeral assurers.

5.6. A detailed breakdown of GPW per funeral assurer in terms of recurring and new business is shown in Appendix 4. A summary of the GPW per company is shown in Table 2 below.

Table 2: Gross Premium Written Per Company (ZW\$000)

	Name of Company	Dec-19	Dec-20 Inflation Adjusted	Dec-20	Change - Inflation Adjusted	Nominal Change (%)
1	First Funeral	7,450	10,586	47,491	42.10%	537.47%
2	Foundation	1,475	2,638	11,834	78.86%	702.35%
3	Moonlight	20,559	39,068	175,260	90.03%	752.48%
4	Orchid	58	118	532	104.65%	818.05%
5	Passion	2,127	2,832	12,705	33.16%	497.35%
6	Ruvimbo	970	1,812	8,128	86.81%	738.03%
7	Sunset	41	414	1,859	911.16%	4436.07%
8	Vineyard	1,882	3,639	16,325	93.37%	767.44%
	TOTAL	34,562	61,109	274,138	76.81%	693.18%

5.7. Pursuant to the introduction of S.I 85 of 2020 gazetted on 29 March 2020 and S.I 280 of 2020 gazetted on 27 November 2020 to facilitate payment of goods and services chargeable in Zimbabwean dollars in foreign currency, only three funeral assurers reported foreign currency denominated business.

5.8. The three funeral assurers wrote foreign currency business worth US\$24,249.60 and ZAR86,845.00 following the enactment of the above statutory instruments. The distribution of foreign currency denominated business is shown in Table 3 below.

Table 3: Gross Premium Written Per Company in Foreign Currency

	Name of Company	USD Dec-20	ZAR Dec-20
1	First Funeral	-	-
2	Foundation	8,397	7,015
3	Moonlight	9,911	-
4	Orchid	-	-
5	Passion	-	-
6	Ruvimbo	-	-
7	Sunset	5,941	79,830
8	Vineyard	-	-
	TOTAL	24,249	86,845

6. Capitalisation

6.1. Three (3) out of the eight (8) funeral assurers reported capital positions compliant with the regulatory minimum capital requirement of ZW\$62.50 million as prescribed in Statutory Instrument 59 of 2020.

6.2. Most funeral assurers were non-compliant with minimum capital requirements and the Commission urges players to ensure adequate

implementation of capitalisation compliance roadmaps.

6.3. The Commission is concerned by the lack of active participation of funeral assurers during the consultative stages of implementing ZICARP.

6.4. The Commission urges players to participate in the ongoing engagements as the framework will have an impact on solvency requirements going forward.

6.5. As at 31 December 2020, the capital positions for funeral assurers ranged from ZW\$5.85 million to ZW\$156 million as shown in Table 4 below.

Table 4: Capitalisation Trend Levels

Name of Company	Dec-20 (ZW\$000)	Sept-20 (ZW\$000)	Jun-20 (ZW\$000)	Mar-20 (ZW\$000)	Dec-19 (ZW\$000)
First Funeral Foundation	155,996	71,839	51,157	19,294	9,211
Moonlight Orchid	54,498	54,176	75,978	58,132	58,262
Passion	91,655	67,506	27,993	275,392	139,017
Ruvimbo	5,851	5,980	5,984	9,649	754
Sunset	6,154	3,755	3,687	2,539	1,118
Vineyard	56,230	62,141	38,688	14,042	3,451
Total	101,255	103,965	Did not Submit	96,052	10,006
	56,566	53,171	57,716	30,065	15,454
	528,208	422,536	261,655	505,170	237,273

Key

	Undercapitalised
	Capitalised

7. Asset Quality

7.1. The sector's total assets increased by 12.75% from ZW\$769.75 million as at 30 September 2020 to ZW\$867.90 million as at 31 December 2020.

7.2. The positive movement in assets was due to property revaluations, which saw asset values increasing by 16.85% from ZW\$666.09 million as at 30 September 2020 to ZW\$778.25 million as at 31 December 2020.

7.3. The asset base for the funeral assurance sector remains concentrated in immovable property consisting of 89.67% of total assets; with operational property constituting

75.79% and investment property 13.88%.

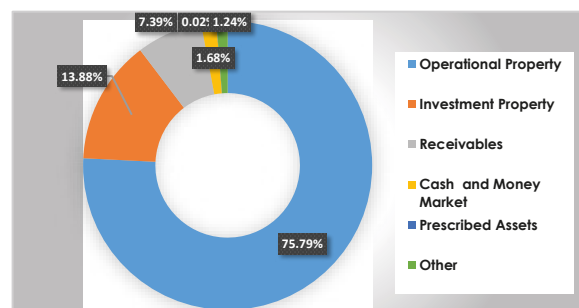
7.4. This indicates high concentration of investments in assets used for funeral service provision. This may be one of the reasons why the sector has managed to stay afloat during the increase in Covid-19 related death claims.

7.5. The Commission continues to implore sector players to be more cautious and hold assets that match their liability profiles in view of the policies with cash benefit components.

7.6. Asset classes such as equities, cash, and money market investments were held in very small proportions relative to the overall asset portfolio.

7.7. The distribution of assets for the funeral assurance sector is shown in Figure 4 below:

Figure 4: Breakdown of Assets



7.8. As at 31 December 2020, all funeral assurers were non-compliant with the minimum prescribed asset ratio of 10% as stipulated by Statutory Instrument 206 of 2019.

7.9. The total amount invested in prescribed assets was ZW\$0.21 million against the required minimum amount of ZW\$86.79 million, which is 10% of the industry's total reported assets.

7.10. The Commission, with the approval of the Ministry of Finance recently reviewed the prescribed asset framework to widen the assets

recognised for prescribed asset purposes. This is in line with the National Development Strategy 1 (NDS 1) and takes into consideration industry needs to ensure preservation of investor and policyholder funds. The Commission has also called upon the industry to come up with projects that can be accorded prescribed asset status as a way of improving their compliance.

7.11. Table 5 below shows the compliance levels with prescribed assets for each funeral assurer.

Table 5: Prescribed Assets Levels

PRESCRIBED ASSETS FOR THE FUNERAL ASSURANCE INDUSTRY AS AT 31 DEC 2020 (ZW\$000)					
Company Name	PA Invest ments	Total assets	PA ratio	Amount required to be compliant	Variance in compliance
Orchid	-	12, 815	0.00%	1, 281	10.00%
First Funeral	-	165, 942	0.00%	16, 594	10.00%
Foundation	60	82, 456	0.07%	8, 245	9.93%
Moonlight	9	352, 542	0.00%	35, 254	10.00%
Passion	32	9, 184	0.36%	918	9.64%
Ruvimbo	62	57, 436	0.11%	5, 743	9.89%
Sunset	2	103, 601	0.00%	10, 360	10.00%
Vineyard	39	83, 918	0.05%	8, 391	9.95%
Total	205	867, 898	0.02%	86, 789	9.98%

Table 6 below shows the key financial highlights for the funeral assurance sector as at 31 December 2020.

Table 6: Key Performance Indicators

Key Financial Indicators	Funeral Assurers				
	Dec-19	Dec-20 Inflation Adjusted	Dec-20	Change - Inflation Adjusted	Nominal Change
Funeral assurers GPW (ZW\$ 000)	34, 562	61, 109	274, 138	76.81%	693.18%
Net Written Premium (ZW\$ 000)	34, 562	61, 109	274, 138	76.81%	693.18%
Total Gross Claims (ZW\$ 000)	9, 776	14, 499	65, 042	48.31%	565.33%
Operating Expenses including Administration and Management (ZW\$ 000)	22, 517	35, 652	159, 936	58.34%	610.29%
Commissions (ZW\$ 000)	2, 583	3, 834	17, 200	48.45%	565.93%
Total Costs (ZW\$ 000)	34, 876	53, 985	242, 180	54.79%	594.40%
Profit Before Interest and Tax (ZW\$ 000)	5, 041	10, 450	46, 881	107.31%	830.01%
Ratio Analysis					
	Dec-19		Dec-20	Change	
Expense Ratio	72.62%		64.62%	-800bp	
Claims Ratio	28.29%		23.73%	-456bp	
Combined Ratio	100.91%		88.34%	-1257bp	
Assets					
	Sep-20		Dec-20	Change	
Total Assets (ZW\$ 000)	769, 749		867, 898	12.75%	
Total Liabilities (ZW\$ 000)	347, 212		339, 689	-2.17%	
Capital - Net Assets (ZW\$ 000)	422, 536		528, 208	25.01%	
Prescribed Assets Ratio	121.69%		155.50%	33.80%	
Prescribed Asset (ZW\$ 000)	210		205	-2.37%	

8. Reassurance

8.1. None of the funeral assurers had any reinsurance arrangements in place for the year-ended 31 December 2020.

8.2. The Commission reiterates the need for funeral assurers to have reinsurance arrangements in place as a risk management strategy in order to

stabilise loss experience, increase, and manage their solvency position.

8.3. The need for reinsurance is more apparent given the strain of high claims experience as a result of the current Covid-19 pandemic.

9. Actuarial Matters

9.1. Total technical liabilities for the funeral assurance sector increased by 2.13% from ZW\$217.28 million as at 30 September 2020 to ZW\$221.92 million as at 31 December 2020, with future policyholder benefits being the major component constituting 99.70% of technical liabilities.

9.2. The remaining 0.3% was composed of unearned premium reserve, incurred but not reported losses and gross outstanding claims.

9.3. Increase in technical liabilities has been low as compared to the increase in premiums and assets during the period under review. This is indicative of continued mismatch in the asset-liability profiling of funeral assurers' balance sheet.

9.4. This may imply that policyholders are being overcharged given that policyholder benefits have not been tracking premium increases during the period under review.

9.5. This anomaly can be addressed by the adoption of local mortality tables that are currently under development to improve the accuracy of reserves, as well as appropriately price the products. Policyholders will hence not be prejudiced and the industry will guard against reputational risk that is detrimental in the long-term.

9.6. The Commission has noted with concern that no funeral assurer has complied with the Guidance Paper for the insurance and pensions industry on

adjusting insurance and pension values in response to the currency reforms. This is a serious compliance failure despite the guidance having been issued for over a year now.

9.7. The Guidance Paper was issued with the aim of addressing the shortcomings identified with regards to actuarial liabilities. Thus, all funeral assurers are urged to comply with this guidance as this will assist them in addressing the issue highlighted above.

10. Earnings

10.1. For the year-ended 31 December 2020, all funeral assurers reported profit before interest and tax both in absolute and real terms.

10.2. Profit before tax for the funeral assurance industry increased by 830% in absolute terms from ZW\$5.04 million for the year-ended 31 December 2019 to ZW\$46.88 million for the year ended 31 December 2020. In real terms, profit before tax increased by 107% from ZW\$5.04 million for the year-ended 31 December 2019 to ZW\$10.45 million for the year-ended 31 December 2020.

10.3. The increase was partly attributable to the sector experiencing a relatively lower loss ratio during the year under review.

10.4. The industry average expense ratio for the twelve months-ended 31 December 2020 was 58.34%, whilst the average claims ratio and the combined ratio stood at 24.16% and 88.34% respectively.

10.5. The Commission is concerned with high management and operating expenses that continue to be incurred by funeral assurance industry players. There is an urgent need to streamline costs to levels below 20%, as dictated by international best practice.

10.6. A summary of the claims incurred,

operating expenses and total costs for each funeral assurer for the twelve months-ended 31 December 2020, is shown in Appendix A5.

11. Liquidity

11.1. As at 30 December 2020, the funeral assurance sector reported an average current ratio of 133% indicating sufficient liquidity to cover short-term contractual obligations.

11.2. Whilst this might signify a positive result, it must be noted that the nature of the short-term assets is mainly in accounts receivables. These assets might not be readily available to meet short-term obligations, as there is a high credit risk exposure on this asset class.

11.3. Funeral assurers are encouraged to invest in appropriate short-term assets that can be easily liquidated to allow them to meet their statutory, short-term debts, operational expenses and fulfil their claim obligations.

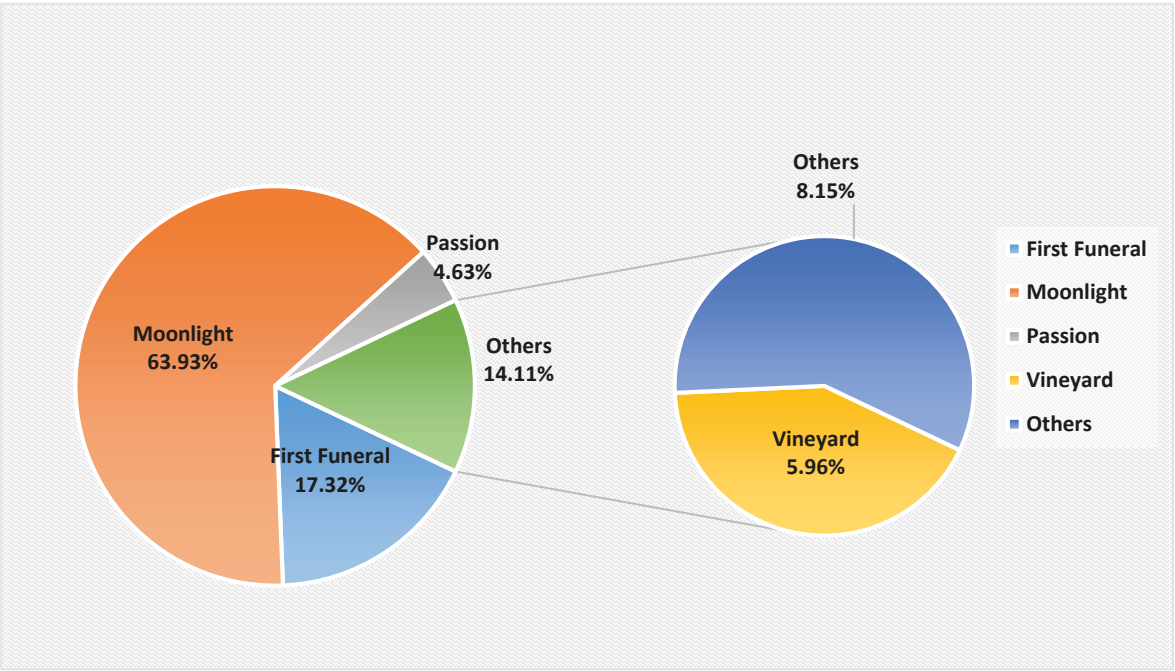
12. Market Share

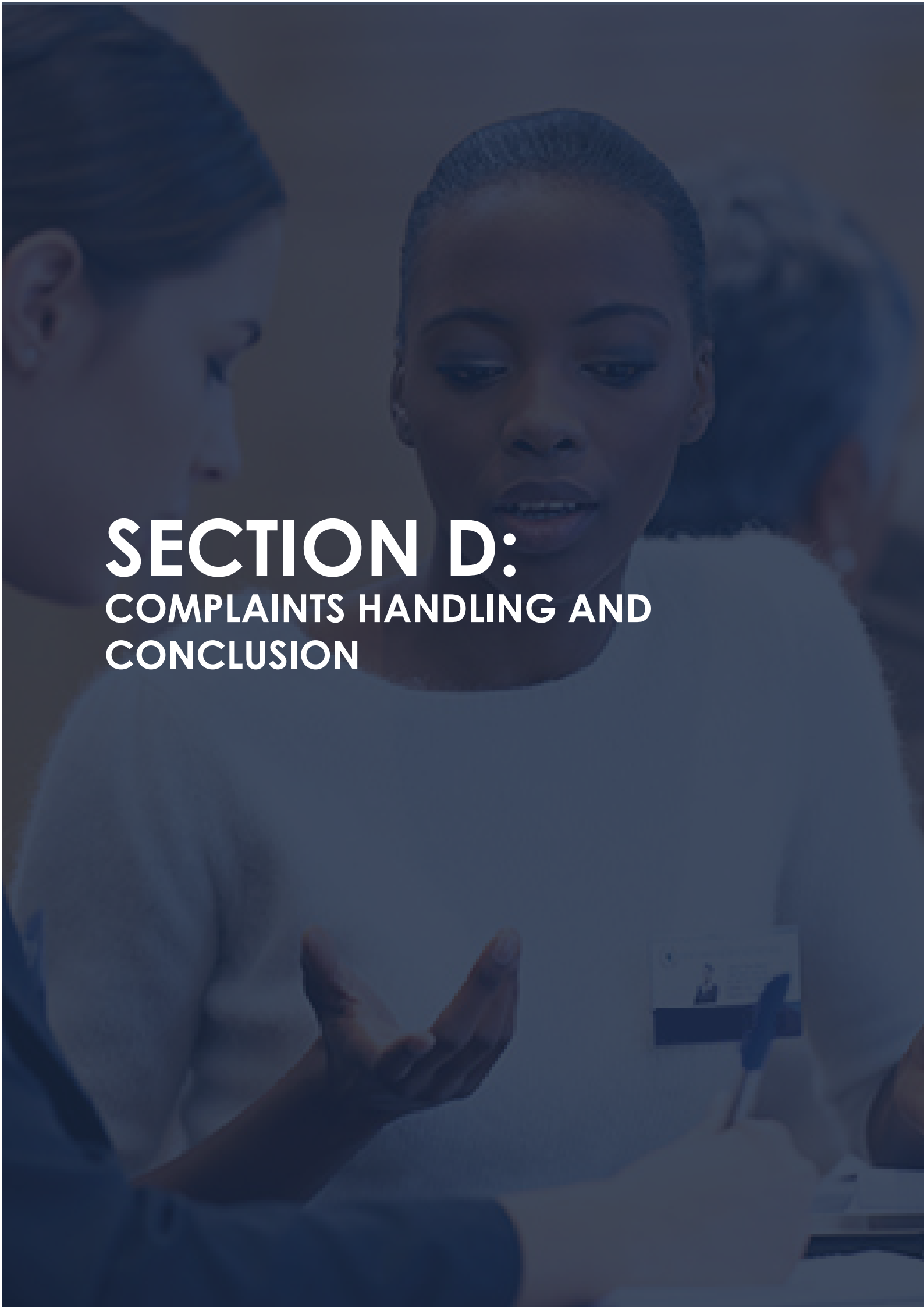
12.1. For the twelve months-ended 31 December 2020, two players dominated the funeral assurance sector in terms of GPW with a total market share of 81.25%. The remaining six (6) funeral assurers accounted for the remainder of 18.75%.

12.2. As highlighted in the previous quarterly report, funeral assurers are challenged to address the industry shortcomings so that they avoid being crowded out by life assurers.

12.3. Distribution of the market share in-terms of GPW for the eight (8) funeral assurers is shown in Figure 5 below.

Figure 5: Market Share in-terms of GPW



A group of people are gathered around a table, looking at a document. A woman in the foreground is looking down at the document. The image is dimly lit with a blue tint.

SECTION D:

COMPLAINTS HANDLING AND CONCLUSION

13. Funeral Assurance Sector Complaints

13.1. During the quarter under review, the Commission received five (5) complaints, all which were resolved. The major source of complaints emanated from non-payment of benefits as per contract. The claims were settled after the Commission's intervention. The second source of disputes was rejection of claims due to lapse of policies on the back of premium arrears.

13.2. The Commission urges funeral assurers to keep their customers informed of the status of their policies to avoid unintended lapses.

The table below shows the sector complaints handled for the period 1 October 2020 to 31 December 2020.

Nature of complaints	Number of complaints	% of total
Rejection of claims	2	40%
Non-payment of agreed benefits	3	60%
Total	5	100%

14. Conclusion

14.1. The funeral assurance industry players should endeavor to comply with applicable laws and regulations particularly on Minimum Capital Requirements and prescribed asset ratios.

14.2. The Commission urges funeral assurers to devise strategies that enable them to withstand the continued pressure and competition from life assurers so that they remain relevant.

14.3. Funeral assurers are encouraged to have reinsurance arrangements in place as a risk management strategy to better manage loss experiences, increase and maintain a healthy solvency positions.

14.4. The sector players should endeavour to streamline costs to levels below 20% as dictated by international best practice.

14.5. There is need for funeral assurers to continuously review their reserves in order to align them with their liabilities and devise appropriate asset-liability matching profiles.

14.6. The Commission urges funeral assurers to be innovative and come up with micro insurance products that enable them to tap into the largely uninsured market of informal business and low-income sectors of the population.



APPENDIX

APPENDIX A1. KEY PERFORMANCE INDICATORS FOR FUNERAL ASSURANCE COMPANIES FOR THE QUARTER ENDED 31 DECEMBER 2020									
	Orchid	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total/ Average
Key Performance Indicator									
Capital Adequacy									
Capital Position i.e. Net Assets (\$ 000)	5,852	155,996	54,499	91,655	6,154	56,231	101,256	56,567	528,209
Capital Coverage Ratio (CCR)	15.60%	415.99%	145.33%	244.41%	16.41%	149.95%	270.01%	150.84%	176.07%
Equity/Total Assets Ratio	45.66%	94.01%	66.09%	26.00%	67.00%	97.90%	97.74%	67.41%	60.86%
Solvency Margin	86.41%	1764.80%	205.25%	52.91%	242.18%	5809.26%	31442.66%	2090.73%	238.02%
Asset Quality									
Total Assets (\$ 000)	12,815	165,942	82,456	352,542	9,185	57,437	103,601	83,919	867,898
Investments to Total Assets	23.53%	52.86%	6.95%	0.00%	11.63%	35.44%	0.00%	7.51%	14.31%
Non-Interest Generating Assets/Total Assets	74.81%	46.13%	92.49%	98.74%	57.91%	63.84%	99.45%	90.19%	84.25%
Fixed Assets/Total Assets	74.25%	41.52%	88.56%	85.24%	0.28%	58.61%	98.74%	83.23%	75.79%
Prescribed Assets Ratio	0.00%	0.00%	0.07%	0.00%	0.36%	0.11%	0.00%	0.05%	0.02%
Premium Debtors/Gross Premium	4.42%	16.12%	7.63%	26.10%	3.38%	36.17%	39.81%	34.86%	23.39%
Premium Debtors/Total Assets	0.18%	4.61%	1.10%	12.97%	4.67%	5.12%	0.71%	6.78%	7.39%
Reinsurance									
Risk Retention Ratio	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%
Actuarial									
UPR	67	0	0	0	0	0	0	0	67
Gross Outstanding Claims	0	360	0	121	0	0	0	0	481
Future Policyholder Benefits	6705	8479	26552	173096	2541	967	322	2577	221242
Total Assets/Total Reserves	189.25%	1877.32%	310.54%	203.53%	361.44%	5933.87%	32171.12%	3101.69%	391.09%
Earnings									
Profit After Tax (000)	162.80	1,725	1,335	30,206	4,939	2,522	162	5,618	46,672
Return on Equity	2.78%	1.11%	2.45%	32.96%	80.26%	4.49%	0.16%	9.93%	8.84%
Return on Assets	1.27%	1.04%	1.62%	8.57%	53.78%	4.39%	0.16%	6.70%	5.38%

APPENDIX A2. STATEMENT OF COMPREHENSIVE INCOME FOR FUNERAL ASSURERS FOR THE QUARTER ENDED 31 DEC 2020 (ZW\$000)									
	Orchid	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
Gross Written Premiums	532	47, 491	11, 834	175, 260	12, 705	8, 128	1, 859	16, 325	274, 138
Reinsurance Premiums			-						-
Net Written Premiums	532	47, 491	11, 834	175, 260	12, 705	8, 128	1, 859	16, 325	274, 138
Increase/(Decrease) in UPR		3, 565				738		596	4, 900
Net Earned Premiums	532	43, 926	11, 834	175, 260	12, 705	7, 389	1, 859	15, 728	269, 238
Provision for Future Claims					2, 246				2, 246
Outstanding claims				120					120
Paid Claims	20	13, 872	973	36, 211	3, 189	759	70	7, 579	62, 675
Net Claims	20	13, 872	973	36, 331	5, 435	759	70	7, 579	65, 042
Net Commissions and Fees		10, 750	708	4, 255	8		59	1, 418	17, 200
Technical Result	512	19, 303	10, 152	134, 673	7, 261	6, 630	1, 730	6, 730	186, 994
Operating/Administration Expenses		18, 217	9, 702	100, 525		4, 107	1, 855	510	134, 919
Underwriting Profit/(Loss)	512	1, 085	450	34, 148	7, 261	2, 522	(125)	6, 219	52, 074
Management expenses				12, 849	3, 253			8, 914	25, 017
Investment Income				1					1
Other expenses	1, 229		49						1, 279
Other Income	880	680	939	9, 069	931		288	8, 313	21, 101
Profit Before Interest and Tax	162	1, 765	1, 340	30, 369	4, 939	2, 522	162	5, 618	46, 881
Taxation			5						5
Interest Payments		40		163				0	
Profit After Tax and Interest	162	1, 725	1, 335	30, 206	4, 939	2, 522	162	5, 618	46, 672
Transfer to policyholders' funds			754						754
Dividends									-
Retained Income	162	1, 725	580	30, 206	4, 939	2, 522	162	5, 618	45, 918

APPENDIX A3. STATEMENT OF FINANCIAL POSITION FOR FUNERAL ASSURERS AS AT 31 DEC 2020 (ZWS000)										
	Orchid	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total	
ASSETS										
Non-Current Assets										
Property and Equipment	9, 515	68, 898	73, 025	300, 518	25	33, 665	102, 291	69, 845	657, 785	
Investment Property		87, 713	5, 670	9	640	20, 292		6, 150	120, 475	
Investments in Securities	15				428	62		136	643	
Intercompany Investments									-	
Other Non-Current Assets								844	844	
Total Non-Current Assets	9, 531	156, 612	78, 695	300, 528	1, 094	54, 020	102, 292	76, 976	779, 747	
Technical Assets									-	
Reinsurers' Share of O/S Claims									-	
Deferred Acquisition Cost (DAC)									-	
Total Technical Assets	-	-	-	-	-	-	-	-	-	
Current Assets										
Cash & cash equivalents	213	1, 674	459	4, 419	2, 797	414	567	1, 086	11, 632	
Short Term Investments	2, 999		60				2	12	3, 075	
Prescribed Assets									-	
Inventory and Other Assets	48		2, 337	1, 860	4, 864	61		153	9, 326	
Accounts Receivables	23	7, 656	903	45, 734	429	2, 940	740	5, 690	64, 118	
Total Liquid Assets	3, 213	1, 674	520	4, 420	2, 797	414	569	1, 099	14, 707	
Total Assets	12, 815	165, 942	82, 456	352, 542	9, 185	57, 437	103, 601	83, 919	867, 898	
Liabilities										
Deferred Tax Liabilities				72, 672				17, 607	90, 279	
Future policyholders' benefits	6, 705	8, 479	26, 552	173, 096	2, 541	967	322	2, 577	221, 242	
Short term loans				495					496	
Long term Loans						31		377	410	
Current Tax provisions									-	
Gross Outstanding Claims		360		120					481	
IBNR								128	128	
UPR	66								67	
Creditors	49	1, 106	1, 404	14, 501	204	206		1, 743	19, 218	
Amount due to related companies	143								143	
Other Liabilities					284		2, 023	4, 917	7, 226	
Total Technical Liabilities/Reserves	6, 772	8, 839	26, 553	173, 218	2, 541	968	322	2, 706	221, 918	
Current Liabilities	192	1, 107	1, 405	87, 669	489	207	2, 024	24, 269	117, 362	
Total Liabilities	6, 964	9, 946	27, 957	260, 887	3, 031	1, 206	2, 346	27, 352	339, 689	
Shareholders' Equity										
Share Capital	13	411		1, 500	1, 048	38, 611	352	211	42, 149	
Share Premium	1, 334	1, 610						977	3, 922	
Revaluation & Other Reserves	5, 570	148, 081	73, 322	225, 473	430	14, 630	102, 320	36	569, 865	
Retained Profit	(1, 066)	5, 893	(18, 823)	(135, 318)	4, 675	2, 988	(1, 417)	55, 341	(87, 727)	
Shareholders' Equity	5, 852	155, 996	54, 499	91, 655	6, 154	56, 231	101, 256	56, 567	528, 209	
TOTAL EQUITY & LIABILITIES	12, 815	165, 942	82, 456	352, 542	9, 185	57, 437	103, 601	83, 919	867, 898	

APPENDIX A4 GROSS WRITTEN PREMIUMS BREAKDOWN AS AT 31 DEC 2020

Name of Company	Individual Life (ZWS\$000)					Corporate Business (ZWS\$000)					Total Gross Premiums (ZWS\$000)				
	New Business		Recurring Premiums		Change (%)	New Business		Recurring Premiums		Change (%)					
	Dec-19	Dec-20	Dec-19	Dec-20		Dec-19	Dec-20	Dec-19	Dec-20		Dec-19	Dec-20	Dec-19	Dec-20	Change - Inflation Adjusted
First Funeral	5	37	640	7,445	19,349	160	-	-	0	-	28,104	100	7,450	47,491	537
Foundation	23	110	382	1,452	11,723	707	-	-	0	-	-	0	1,475	11,834	702
Moonlight	878	4,085	365	19,681	171,175	770	-	-	0	-	-	0	20,559	175,260	752
Orchid	-	11	100	5	31	540	-	-	0	53	488	822	58	532	818
Passion	27	-	-100	328	3,514	972	36	-	-100	1,736	9,191	429	2,127	12,705	497
Ruvimbo	291	2,438	738	679	5,690	738	-	-	0	-	-	0	970	8,128	738
Sunset	4	1,403	34983	37	456	1134	-	-	0	-	-	0	41	1,859	4436
Vineyard	99	1,722	1640	198	649	228	268	5,285	1872	1,317	8,668	558	1,882	16,325	767
TOTAL	1,327	9,810	639	29,825	212,591	613	304	5,285	1639	3,106	46,452	1396	34,562	274,138	693

APPENDIX A5 COST AND EARNINGS ANALYSIS FOR THE FUNERAL ASSURANCE INDUSTRY AS AT 31 DEC 2020																		
Co. Name	NPW (ZW\$000)			Claims (ZW\$000)			Commissions (ZW\$000)			Management Expenses (ZW\$000)			Total Costs(ZW\$000)			Combined Ratio		
	Dec-19	Dec-20	Change(%)	Dec-19	Dec-20	Change e(%)	Dec-19	Dec-20	Change e(%)	Dec-19	Dec-20	Change (%)	Dec-19	Dec-20	Chan ge(%)	Dec-19	Dec-20	Chan ge
First Funeral	7,450	47,491	537	2,096	13,872	562	1,509	10,750	612	3,293	18,217	453	6,898	42,840	521	93%	90%	-2%
Foundation	1,475	11,834	702	254	973	283	109	708	550	1,261	9,702	669	1,624	11,384	601	110%	96%	-14%
Moonlight	20,559	175,260	752	5,823	36,331	524	667	4,255	538	15,180	113,374	647	21,670	153,961	610	105%	88%	-18%
Orchid	58	532	818	50	20	-60	-	-	0	57	-	-100	107	20	-81	184%	4%	-181%
Passion	2,127	12,705	497	394	5,435	1280	82	8	-90	1,071	3,253	204	1,547	8,697	462	73%	68%	-4%
Ruvimbo	970	8,128	738	166	759	358	-	-	0	563	4,107	630	729	4,867	568	75%	60%	-15%
Sunset	41	1,859	4436	15	70	368	6	59	887	69	1,855	2590	90	1,985	2106	220%	107%	-113%
Vineyard	1,882	16,325	767	978	7,579	675	210	1,418	576	1,023	9,424	821	2,211	18,423	733	117%	113%	-5%
Total	34,562	274,138	693	9,776	65,042	565	2,583	17,200	566	22,517	159,936	610	34,876	242,180	594	100,91%	88,34%	-13%